

was an *active* owner who went on the voyage. Both parties shared in the profits, but the passive owners could lose only as much money as they put into the trip (their liability was *limited*). The active owner’s liability, on the other hand, was *unlimited*. The commenda transformed Venice from an obscure, fog-prone marsh into La Serenissima.³

Today, PE investments are investments in privately held companies, which trade directly between investors instead of via organized exchanges.⁴ The investments are typically made through a PE fund organized as a limited partnership. Asset owners, such as pension funds or endowments, invest in the fund and are *limited partners* (LPs). The fund is managed by a PE firm, like KKR or Kleiner Perkins, which is the *general partner* (GP). The fund itself invests in illiquid businesses (called *portfolio companies*).

The PE firm raises *commitments* of capital from LPs, who must pony up on demand at any point between the fund’s start (or *vintage*) year and a predetermined date or whenever the fund is dissolved. LPs have a maximum commitment (the *committed capital*). For example, asset owners might commit to providing \$100 million over the life of a PE fund. In the first year, GPs call \$20 million, leaving \$80 million that can be called in future years. Once committed, investors are expected to stay for the fund’s duration—secondary markets for LP commitments are extremely thin and discounts are huge.

2.2. PRIVATE VERSUS PUBLIC EQUITY

Table 18.1 summarizes the differences between private and public equity. The first and obvious difference is that public equities are easily tradeable in centralized markets (that is, they are liquid), whereas private equities are traded over the

Table 18.1

	Public Equity (S&P 500)	Private Equity
Market	Centralized and liquid	Over-the-counter and illiquid
Transactions Costs	Tiny or small	Enormous
Valuation	Easy and objective in real time	Difficult and subjective and available infrequently
Horizon	Immediate	Long term (around 10 years)
Contracts	Standard	Complex

³ See Acemoglu and Robinson (2012).

⁴ Portions of Sections 2 through 4 are drawn from Ang (2011) and Ang and Sorensen (2012). Good summaries of the PE market are given by Cornelius (2011), Phalippou (2009, 2011), Robinson and Sensoy (2011a), and Harris, Jenkinson, and Kaplan (2012).